

MILIND SHELTE

labour (like a daily construction worker) at 21.8 per cent and regular employment at only 20.9 per cent. "The basic fundamental of labour economic theory," says Sundar, "is that the wage and salaried jobs should increase, and self-employment—vegetable vendors, tea shop owners, etc.—decline, as people often take up the latter as a last resort."

But the negative trends are particularly pronounced among the country's youth (aged 15–29). The youth unemployment rate has increased from 5.6 per cent in 2000 to 17.5 per cent in 2019, though it dropped to 12.4 per cent in 2022. Ironically, the higher the education, the higher the chances of youth being unemployed. The percentage of educated youths has more than doubled over this period—from 18 per cent in 2000 to 35 per cent in 2022—but the percentage of those involved in economic activities decreased from 52 per cent to 37 per cent during the same period.

Ravi Srivastava, director of the Centre for Employment Studies, IHD, who contributed to the report, explains that this phenomenon is on account of both demand- and supply-side challenges. On the demand side, not enough quality and skilled jobs, which can meet the aspirations of the youth, are being generated. On the supply side, the youth who are getting educated don't have industry-relevant skills, affecting their employability. That said, even among the employed youth, self-employment predominates as, experts believe, it has no entry barriers and they can readily join their family business. It goes without saying that self-employment in India significantly comprises lower-end businesses like small grocery store owners and street vendors rather than upper-end segments comprising professionals like lawyers and accountants. In 2022, 47.5 per cent of young people were self-employed, compared with 58.5 per cent of adults.

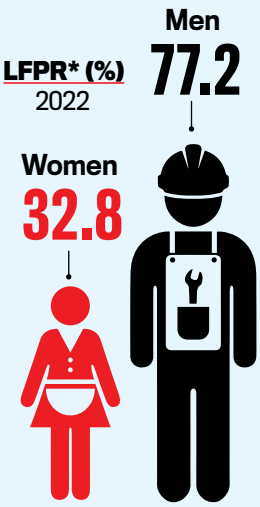
This is a matter of concern as India is among the few countries where the share of the working-age population (age 15-59) is considerable—increasing from 59 per cent in 2011 to 63 per cent in 2021, and expected to remain stable over the next 15 years. 'Thus,' the report notes, 'the country is in the final stage of reaping its demographic dividend.' This makes it imperative for the government to integrate job creation in all economic policies to boost high-quality non-farm employment. Emerging sectors that are labour-intensive should be encouraged through support mechanisms like subsidised loans and tax rebates. The emphasis should be on fostering the growth of micro, small and medium enterprises to absorb workers transitioning out of agriculture. After all, the youth account for 27 per cent of India's population, with 12 million being added to the working-age population every year. And they will need productive jobs. ■

ORKS, INFORMALLY

24 revives fears that we are forfeiting our 'demographic dividend'

GENDER INEQUITY

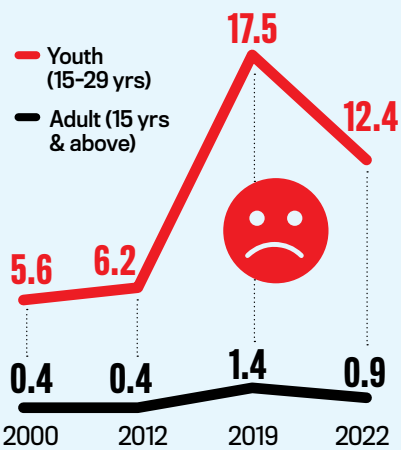
Women are lagging far behind men in labour force participation rate (LFPR), pointing to gender inequality in Indian society



*proportion of population currently employed or actively looking for a job

JOBLESS YOUTH

Joblessness remains considerably high among the country's youth, highlighting the lack of quality jobs for the 12 million being added to the working-age population every year



*proportion of the labour force that does not have employment and is seeking and/ or is available for work

Graphic by TANMOY CHAKRABORTY